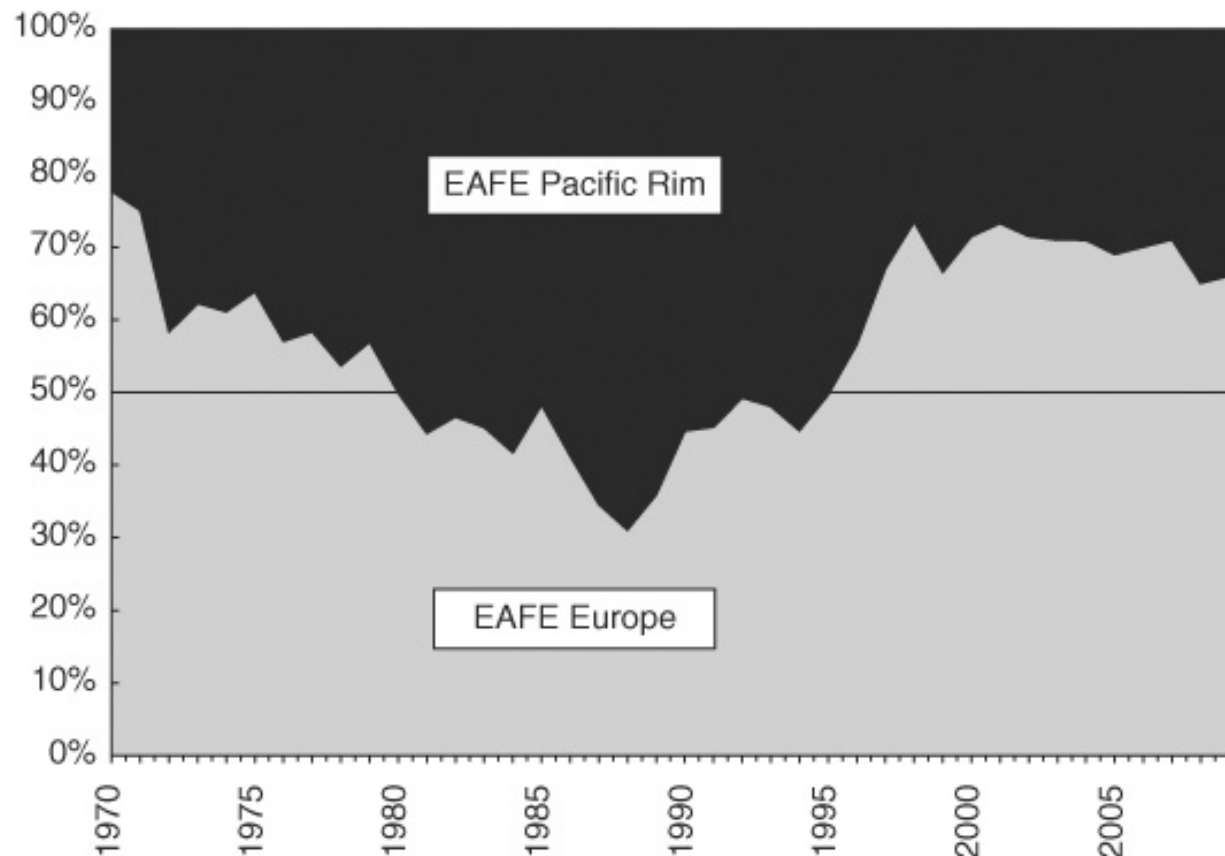


FIGURE 7-5

Percentage of EAFE Index in European and Pacific Rim Developed Markets



[Figure 7-6](#) shows that the correlation between the United States and Europe has been traditionally higher than the correlation between the United States and the Pacific Rim. The increase in correlation between the United States and Europe that occurred after 2000 coincided with the introduction of the euro, a single currency that 11 European Union countries adopted in 1999. Perhaps the euro has led to a permanently higher correlation between the United States and Europe, and perhaps not. Time will tell.

There was also a jump in correlation between U.S. stocks, European stocks, and Pacific Rim stocks during the credit crisis from 2007 through 2009. I don't expect the correlations to continue at this high a level after the global recovery takes hold and each economy goes its own way. Accordingly, I recommended that investors continue to invest in all regions of the world and rebalance portfolios annually.